

# Manufacture in India. Sell to the world.

Five priority sectors for foreign direct investment, backed by \$25.3 billion in committed government incentives and a \$776 billion import market that's still growing faster than India can supply it.

**\$776.0bn**

FY2025-26 import market

**\$25.3bn**

PLI outlay, 14 sectors

**+7%**

GDP growth, FY2025-26

## THE OPPORTUNITY

# A \$776bn import market that outgrew its own supply base

India's imports grew nearly six times faster than its exports over the last five fiscal years — the exact gap that import-substitution manufacturing investment is built to close.

MERCHANDISE IMPORTS, FY25-26

**\$776.0bn**

+26.6% over 5 years — the demand base for local manufacturing

MERCHANDISE EXPORTS, FY25-26

**\$441.7bn**

+4.7% over 5 years — India as a re-export & assembly base

IMPORT / EXPORT GROWTH RATIO

**5.7x**

The capacity gap this deck's sectors are built to close

For an investor, that gap is the pitch: India already buys these goods from somewhere. The question is whether they get made **in** India, with a government actively subsidizing the transition through Production Linked Incentive (PLI) schemes.

## WHY NOW

# A government actively de-risking the first mover

**836**

**PLI applications approved**

Across 14 sectors as of Dec 2025, \$3.69bn already disbursed, 14.39 lakh jobs created.

**+75.6%**

**Services surplus growth, 5yr**

A structurally strong external balance — India can absorb a larger goods deficit while it builds capacity.

**96.37**

**₹/US\$, 17 Jul 2026**

A weaker rupee lowers dollar-denominated setup costs and improves export-side margins for a new plant.

This isn't a generic "India is growing" pitch. It's five specific sectors where a scheme is already funded, a supply gap is already measured, and — where relevant — an export channel to the US, EU, or Gulf already exists.

# Electronics & Semiconductor Manufacturing

HS84–85 · India's single largest and fastest-growing high-tech import chapter — and the one chapter where policy support is already the strongest in the whole ledger.

|                              |                                                                                    |           |
|------------------------------|------------------------------------------------------------------------------------|-----------|
| Import value, FY25-26        |  | \$104.9bn |
| 8-year growth                |  | +101.5%   |
| Export growth (same chapter) |  | +324.1%   |

## POLICY BACKING

India Semiconductor Mission 2.0 (\$9.43bn) plus PLI Electronics/Mobile/Telecom — the strongest-matched chapter on either side of India's trade ledger. Currently 62% import-dependent on China for components: **the exact capacity gap a new fab or assembly plant fills directly.**

**The investment case:** government co-funding already committed, a domestic demand base of \$104.9bn/year, and a proven re-export channel — this same chapter is India's fastest-growing export line too.

# Specialty Steel & Metals

HS72–73 · The rare chapter matched on both the import-substitution and export-growth sides of the same ledger.

PLI COMMITTED (1.0/1.1 + 1.2)

## \$6.9bn

period-matched conversion — one of the largest single PLI levers

PRODUCTION TARGET, FY26-27

## 42 Mt

explicitly sized to cut import dependency

EXPORT VALUE, BOTH CHAPTERS

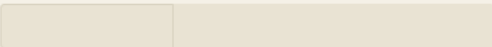
## \$20.7bn

HS72 + HS73 combined, FY2025-26

Round 1.2 alone: 85 projects, 55 companies, \$1.40 billion, 8.7 million tonnes of new capacity, MoUs signed February 2026. **Genuine white space remains** for capacity beyond what's already been awarded — India still imports \$15.8bn of iron & steel a year.

# Auto, EV & Battery Storage

HS87 · A budget that nearly tripled in one year, and an export base already reaching five continents.

|                             |                                                                                    |          |
|-----------------------------|------------------------------------------------------------------------------------|----------|
| PLI Auto, FY26-27 budget    |  | \$701.4M |
| FY25-26 budget (prior year) |  | \$247.0M |
| Vehicle export growth, 8yr  |  | +43.5%   |

## ESTABLISHED EXPORT LANES

USA, Mexico, South Africa, Saudi Arabia, UAE — already India's top-5 vehicle export destinations. The complementary **ACC Battery Storage PLI** (\$2.25 billion, 50 GWh target, 40 GWh already awarded) feeds the same EV value chain.

**The investment case:** the fastest-scaling PLI budget in this deck, a market already exporting to 5 continents, and battery-storage capacity being built out in parallel.

# Pharmaceuticals & Bulk Drug APIs

HS29/30 · India already leads the world in generic medicines. The gap is upstream — active pharmaceutical ingredients.

## INDIA PHARMA + API EXPORTS

**\$35.8bn**

vs. ~\$1.3 trillion in global demand (NITI Aayog, 2025) — vast headroom

## PLI BULK DRUGS

**\$840.1M**

48 projects selected, 34 already commissioned

## IMPORTS AVOIDED SO FAR

**\$179.5M**

directly attributable to the scheme's early cohort

India remains roughly 70% dependent on China for API raw materials — the precise dependency this scheme targets. Telangana, Gujarat and Maharashtra are the established manufacturing clusters, with global-standard regulatory infrastructure already in place.

# White Goods Components

AC compressors, copper tubes, aluminium foils (HS84) · A fully-subscribed scheme with a long committed production runway still to fill.

## COMPANIES SELECTED

# 85 / 85

all four selection rounds complete — a mature, de-risked scheme

## COMMITTED INVESTMENT

# \$1.39bn

4-6% incentive on incremental sales through FY2028-29

## CUMULATIVE PRODUCTION TARGET

# \$23.58bn

the demand runway component suppliers are building against

**The investment case:** this scheme is closed to new PLI applicants, but that's the point — it signals a mature, proven supply chain a component manufacturer or Tier-2 supplier can plug into today, backed by a production target that runs to 2029.



# Three sectors, no PLI yet — no incumbent to out-compete

Real, growing, unmet demand — with no Production Linked Incentive scheme in place. The first credible entrant sets the terms.

## Inorganic Chemicals

HS28

**\$14.2bn**

import value, growing +86.0% over 8 years

## Plastics

HS39

**\$22.2bn**

import value, growing +45.8% over 8 years

## Aircraft & Spacecraft

HS88

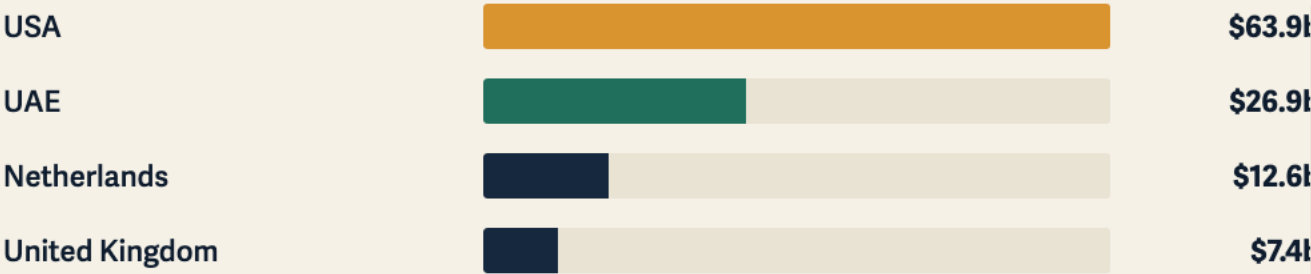
**\$13.8bn**

import value, growing +80.9% over 8 years

These are the cleanest import-substitution candidates this analysis found: real value, real growth, and — unlike the five sectors above — no existing scheme or funded competitor to negotiate around.

# Manufacture here, and the export channel already exists

India's fastest-growing export chapters already reach the world's largest buyers — a new plant inherits the channel, not just the domestic market.



**COMBINED EXPORT EXPOSURE BY DESTINATION, TOP 12 GROWTH CHAPTERS**

The USA alone is the top-8 destination in 11 of India's 12 fastest-growing export chapters. That's an established, deep buyer relationship a new manufacturer can sell into from day one — not a market that needs to be built from scratch.

# Two risks worth pricing in, honestly

An investment case is only credible if it names its own risks. Both below are real, quantified, and manageable — not reasons to pass, reasons to structure around.

## CARBON BORDER RISK (CBAM)

**\$20.7bn**

of India's steel exports (HS72/73) sit inside the EU Carbon Border Adjustment Mechanism's initial scope. Specialty Steel PLI scales production; it doesn't by itself address the carbon-cost exposure. **Structure for it:** pair new capacity with lower-emissions production routes from day one.

## CURRENCY VOLATILITY

**+11.9%**

rupee depreciation in the 12 months to July 2026 — faster than the prior decade's ~3.3%/year average. Favorable for dollar-cost setup and export margins now; underwrite financing assumptions against continued volatility, not the current spot rate alone.

Full sourcing and methodology: [herrickshaw.github.io/india-trade-sector-policy-recommendations](https://herrickshaw.github.io/india-trade-sector-policy-recommendations)

## NEXT STEPS

# Five sectors, one window — while the incentive is still open

Electronics, Specialty Steel, Auto/EV/Battery, Pharma APIs, and White Goods components each carry funded government backing today. Inorganic Chemicals, Plastics, and Aerospace remain open ground floor.

## FACILITATION

### Invest India

National Investment Promotion & Facilitation Agency

## POLICY

### Ministry of Commerce & Industry

Department for Promotion of Industry and Internal Trade

## FULL ANALYSIS

### [github.com/herrrickshaw](https://github.com/herrrickshaw)

india-trade-sector-policy-recommendations